

Public Debt Management Act, 2022

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An Act Made to Amend and Consolidate Laws Relating to Public Debt Management

Preamble: Whereas, it is desirable to make timely amendments and consolidate legal provisions relating to loans and guarantees to manage public finance and maintain internal and external debt management while maintaining coordination between fiscal and monetary policy for the rapid economic development and economic stability of the country,

The Federal Parliament has enacted this Act. 1. Short Title and Commencement: (1) This Act shall be called the "Public Debt Management Act, 2079".

(2) This Act shall commence on the thirty-first day from the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Internal debt" means a loan taken from a Nepali citizen, organized institution, bank or financial institution.

(b) "Commission" means the National Natural Resources and Finance Commission pursuant to Article 250 of the Constitution of Nepal.

(c) "Agency" means an international bank or financial institution.

(d) "Debenture" means a debenture as follows, and the term also denotes the interest payment coupon of such a debenture:

(1) Stock,

(2) Promissory note,

(3) Bearer bond,

(4) Prize bond,

(5) Debenture issued by Nepal Rastra Bank, and

(6) Any other debenture specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(e) "Office" means the Public Debt Management Office pursuant to Section 3.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(g) "Ministry" means the Ministry of Finance, Government of Nepal.

(h) "External debt" means the total outstanding amount payable in respect of loans taken in foreign currency from a foreign government, foreign government bank or financial institution, or agency.

(i) "Organized institution" means an organized institution formed and established pursuant to the prevailing Nepal law.

(j) "Public debt" means internal or external debt and the financial liability created while mobilizing such debt.

(k) "Local level" means a Rural Municipality or a Municipality. 3. Office: (1) There shall be a Public Debt Management Office for the management of public debt.

(2) The Office shall have the required number of employees according to the organizational structure as determined by the Government of Nepal. 4.

Functions, Duties and Powers of the Office: In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the Office shall be as follows:- (a) To analyze the revenue-expenditure projection made by the Ministry for each fiscal year, banking sector liquidity and the macroeconomic situation, remaining within the limit recommended by the Commission, and project the public debt that may be required for each fiscal year in coordination with the Ministry, the provincial government and Nepal Rastra Bank, (b) To formulate short-term, medium-term and long-term policies regarding the management of the public debt projected pursuant to clause (a) and submit them to the Ministry, (c) To identify the sectors for mobilizing public debt and submit suggestions to the Ministry, (d) To collect necessary information and statistics regarding public debt from the concerned bodies, (e) To project the budget required for servicing public debt, (f) To conduct study, research and monitoring regarding public debt and publish details thereof, (g) To manage internal debts taken by the Government of Nepal, provincial governments and local levels, remaining within the limit recommended by the Commission, (h) To get the internal debt issuance and auction schedule approved by the Ministry in coordination with Nepal Rastra Bank and implement it, (i) To manage records of debenture transactions and government guarantees, collect guarantee fees, and obtain guarantee agreements and update the records thereof, (j) To issue government debentures, conduct auctions, receive amounts, and deposit the received amounts into the internal debt account of the Government of Nepal, provincial government or local level for the management of internal debt, (k) To record, pay and account for external debt, (l) To make subsidiary loan agreements as prescribed, (m) To identify and analyze the financial risk arising from providing a financial guarantee on behalf of the Government of Nepal and recommend to the Ministry, (n) To perform functions as prescribed regarding the management of public debt. 5.

External Debt: (1) The Government of Nepal shall have the power to take external debt. (2) For the implementation of plans and programs of the Government of Nepal, provincial government or local level, or a project approved by the Government of Nepal, the Government of Nepal may borrow from any foreign government, foreign government bank or financial institution, or agency, as needed, foreign currency equivalent to such amount at the prevailing exchange rate, not exceeding one-third of the amount resulting from the total gross domestic product of the preceding fiscal year at current prices, in a single installment or in multiple installments. (3) The liability for the external debt taken pursuant to sub-section (2) shall be on the Federal Consolidated Fund. (4) Notwithstanding anything contained in sub-section (3), where the Government of Nepal borrows from a foreign government, foreign government bank or financial institution, or agency for a provincial government or local level, the liability for such loan amount shall be on the concerned Provincial Consolidated Fund or Local Consolidated Fund. (5) The period for repayment of principal and interest of a loan taken pursuant to this section shall be as specified in the agreement with the foreign government, foreign government bank or financial institution, or agency providing the loan. (6) The Government of Nepal may, with the agreement of the lender, change the terms of the loan, consolidate two or

more loans into a single loan, or repay the loan and interest before the prescribed date. (7) Other provisions relating to external debt shall be as prescribed. 6. Internal Debt: (1) The Government of Nepal may, or a provincial government or local level with the consent of the Government of Nepal, raise internal debt by issuing one or more types of debentures in the required quantity, in a single installment or in multiple installments, remaining within the limit recommended by the Commission, and subject to the prevailing law. (2) The responsibility for raising internal debt by issuing debentures pursuant to sub-section (1) shall be of the Office. (3) In case the Government of Nepal gives consent to a province or local level to take internal debt pursuant to prevailing federal law, the Office shall carry out all the works and proceedings relating to the management of such debt. 7.

Maturity Period and Interest Rate of Debentures: (1) The maturity period for repayment of principal and interest and the interest rate of debentures issued pursuant to Section 6 shall be as specified by the Government of Nepal, the concerned provincial government or the local level based on the debenture. (2) Notwithstanding anything contained in sub-section (1), the interest rate of a debenture may be determined through auction. (3) Provisions relating to the interest payment period and method of a debenture shall be as prescribed. 8. Repayment of Principal and Interest of Debentures: (1) Notwithstanding anything contained in the prevailing law, the principal and interest of the following debentures shall be paid as follows:- (a) Principal and interest of stock shall be paid to the person in whose name such stock is registered, through that person's bank account, (b) Principal and interest of a promissory note shall be paid to the holder of such promissory note or the last person to whom it was endorsed, Explanation: For the purpose of this clause, "Promissory note" means a debenture that can be endorsed and transferred, and the term also denotes a Treasury Bill. (c) Principal and interest of a bearer bond shall be paid to the person who presents the certificate of such bearer bond, Explanation: For the purpose of this clause, "Bearer bond" means a debenture where payment is to be made to the person who presents the certificate of the debenture. (d) Principal of a prize bond shall be paid to the person who presents the certificate of such prize bond, and Explanation: For the purpose of this clause, "Prize bond" means a debenture where the holder receives all or part of the interest amount through a lottery as prescribed. (e) Principal and interest of other debentures shall be paid to the person as prescribed. (2) Provisions relating to the interest payment of a prize bond pursuant to clause (d) of sub-section (1) shall be as prescribed. (3) Upon issuance of a debenture, the principal and interest of the debenture shall be paid in Nepali or foreign currency according to the terms specified. (4) If a province or local level fails to repay a loan taken from the Government of Nepal or guaranteed by the Government of Nepal, the Government of Nepal may deduct an amount equal to the principal and interest of such loan from the revenue sharing amount made available to the concerned province or local level pursuant to prevailing law. 9.

Debt Management Agreement: (1) An agreement may be made, as needed, between the Government of Nepal, a provincial government, or a local level regarding the management of public debt. (2) Subject to the agreement under sub-section (1), the Office shall carry out all the works and proceedings relating to the management of public debt. 10. Trading of Debentures: (1) The Office may issue government debentures through auction as needed. (2) While issuing debentures pursuant to sub-section (1), the Office shall specify the type of such debenture, the amount to be issued, the interest rate, the maturity period, the time limit for participating in such auction, the procedure, and other necessary conditions, and publish a notice in a national daily newspaper, and such notice shall also be posted on the website of the Office and the concerned provincial government or local level. (3) The trading of debentures issued pursuant to sub-section (1) may be conducted through the securities market in accordance with the prevailing federal law relating to securities. (4) To facilitate trading through the securities market pursuant to sub-section (3), the issued

debentures shall be listed on the securities market in accordance with the prevailing federal law, and the listing of such debentures shall be traded through a person or institution licensed to trade securities. 11. Transfer of Debentures: (1) If the holder of a debenture wishes to transfer the debenture in their name to the name of another person, they shall submit an application to the Office as prescribed. (2) Upon inquiry into the application received pursuant to sub-section (1), if the particulars appear reasonable, the Office shall transfer such debenture as prescribed. After such transfer, the person in whose name the debenture is transferred shall become the holder of such debenture. (3) If the holder of a debenture dies, if they have bequeathed such debenture to someone, the bequeathed person shall be the holder of such debenture.

If there is no bequeathed person, or if the bequeathed person also died before the holder of the debenture, the heir according to prevailing federal law shall become the holder of such debenture. (4) If a debenture is purchased jointly by two or more persons, upon the death of any or all of the holders of such debenture, the right to the principal and interest of such debenture shall vest in the person bequeathed by the concerned holder of the debenture, if any, and in the absence thereof, in the heir according to prevailing federal law. (5) If the person under sub-section (3) or (4) submits an application to the Office for the transfer of a debenture with proof of their entitlement, the Office shall transfer such debenture pursuant to sub-section (2). 12. Person Who May Give a Will: If the holder of a debenture wishes to bequeath someone regarding the heir of the debenture during their lifetime or after their death, they shall make a will in the format prescribed by the Office and give it to the bequeathed person. The Office shall pay the principal and interest of such debenture to the person mentioned in the will. 13. Debenture Purchased by an Organized Institution: (1) A debenture purchased by an organized institution shall remain in the name of such institution. (2) If an organized institution that has purchased a debenture is to be dissolved, liquidated, or merged with another institution, such organized institution shall, prior to such dissolution, liquidation, or merger, specify the heir holder of such debenture and submit an application to the Office for transfer to the name of such person, before the period for collecting the principal and interest of such debenture. (3) Upon inquiry into the application received pursuant to sub-section (2), if the particulars appear reasonable, the Office shall transfer such debenture to the name of the concerned heir. 14.

Explanation: For the purpose of this section, "Public entity" means a corporation, company, or institution established at the public level pursuant to prevailing law or established by the Government of Nepal, which is under full or majority ownership or control of the Government of Nepal.

(3) The Government of Nepal may provide a counter-guarantee for the internal debt taken by a provincial government or local level with the consent of the Government of Nepal, in accordance with prevailing federal law.

(4) Prior to providing a guarantee or counter-guarantee pursuant to sub-section (2) or (3), the Government of Nepal shall analyze the reason for taking the loan by such public entity or province or local level, the national interest involved in taking the loan, and whether the principal and interest of the loan can be repaid within the time specified in the agreement with the foreign government, foreign government bank or financial institution, or agency or organized institution providing the loan.

(5) A public entity that has taken a loan with the guarantee of the Government of Nepal pursuant to this section shall not, without the prior approval of the Government of Nepal, revalue its capital, reduce capital, or do or cause to be done any act that may result in the loss of capital.

(6) It shall be the duty of the public entity receiving such loan to comply with the directions given from time to time by the Government of Nepal on matters relating to the loan taken with the guarantee of the Government

of Nepal pursuant to this section.

(7) If a public entity that has taken a loan with the guarantee of the Government of Nepal pursuant to this section is dissolved, or if the Government of Nepal considers that there is a possibility of dissolution, the Government of Nepal shall attach any property belonging to such entity in accordance with prevailing Nepal law and recover from such property an amount equal to the guarantee given and interest thereon.

(8) Notwithstanding anything contained in the prevailing Nepal law, until the principal and interest amount of the loan guaranteed by the Government of Nepal is recovered, no other person shall have a claim on the property of the borrowing public entity.

(9) If an organized institution taking a loan with the guarantee of the Government of Nepal fails to repay the principal and interest according to the agreement with the foreign government, foreign government bank or financial institution, or agency or public entity providing the loan, the amount of principal and interest that is not repaid shall be a liability upon the Federal Consolidated Fund or other government fund.

(10) For the purpose of making recommendations regarding the giving of a guarantee or counter-guarantee by the Government of Nepal pursuant to this section, there shall be a committee consisting of the member of the National Planning Commission looking after the concerned sector as coordinator, and the Secretaries of the Ministry of Finance, the Ministry of Law, Justice and Parliamentary Affairs, and the Ministry concerned with the project for which the guarantee is to be given as members.

(11) Other provisions relating to guarantees shall be as prescribed.

15. Guarantee Fee: (1) The Government of Nepal shall, in return for a guarantee given pursuant to Section 14, charge a guarantee fee at the rate specified in a notice published in the Nepal Gazette.

(2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may grant full or partial exemption from the guarantee fee chargeable pursuant to that sub-section.

(3) If the Government of Nepal grants any exemption pursuant to sub-section (2), a notice of such exemption shall be published in the Nepal Gazette. 16. Notice to be Given to the Holder of a Debenture: (1) If the holder of a debenture does not come to claim the principal and interest within one hundred eighty days after the due date for payment of the principal of such debenture, the Office shall send a written notice to the address of the concerned holder of the debenture to claim the principal and interest of such debenture, and such notice shall also be published in a national daily newspaper and kept updated on the website of the Office.

(2) The notice sent to the home address pursuant to sub-section (1) shall be deemed to have been received by the heir on the later of the date of receipt of the notice or the date of publication of the notice in a national daily newspaper.

(3) If the holder of the debenture does not come to claim the principal and interest of the debenture within one hundred eighty days from the date of receipt of the notice pursuant to sub-section (2), the Office shall maintain the amount of such debenture as a payment liability of the Government of Nepal and deposit it in a fund designated by the Government of Nepal within six months.

(4) If a claim is made with proper proof for the amount deposited in the fund pursuant to sub-section (3), the Office shall pay such amount to the holder of the debenture or their heir within thirty-five days. 17. If the Holder of a Debenture is a Minor or of Unsound Mind: If a minor or a person of unsound mind is the holder of a debenture, out of the amount payable to such person in respect of such debenture, the amount determined

by the Office may be paid in a single installment or in multiple installments to the guardian of such minor or person of unsound mind according to the prevailing federal law. 18.

Providing a Copy of a Debenture and Interest Payment Coupon: If the holder of a debenture submits an application to the Office with appropriate grounds or proof that such debenture or its interest payment coupon or both have been lost, stolen, destroyed, become illegible due to obliteration of letters, or torn, and if the particulars of such application appear reasonable, the Office shall, upon charging the prescribed fee, provide the applicant with a copy of such debenture or interest payment coupon as requested.

19. Conversion, Subdivision, Consolidation or Renewal of Debentures: (1) The holder of a debenture may submit an application to the Office in the prescribed format for the conversion, subdivision, consolidation or renewal of debentures held by them among themselves. (2) Upon receipt of an application pursuant to sub-section (1), the Office may, upon charging the prescribed fee, provide the applicant with a new debenture by converting, subdividing or consolidating the original debenture in lieu of such debenture, or renew such debenture, as prescribed.

20. Details to be Included: (1) The estimate of revenue and expenditure to be presented by the Government of Nepal to the Federal Parliament each fiscal year pursuant to Article 119 of the Constitution shall include details relating to loans taken and guarantees given by the Government of Nepal pursuant to this Act. (2) Details of loans taken by a provincial government and local level with the consent of the Government of Nepal pursuant to this Act, and the counter-guarantee given by the Government of Nepal in relation thereto, shall be included in the estimate of revenue and expenditure to be presented by the provincial government to the Provincial Assembly pursuant to Article 207 of the Constitution and by the local level to the concerned Village Assembly or Municipal Assembly pursuant to Article 230 of the Constitution.

21. Person Who May File a Complaint: (1) If any person receives payment of a debenture to which they are not entitled, or causes a holder to be nominated, the holder of such debenture or the heir may file a complaint in the concerned District Court within thirty-five days from the date of knowledge of such payment or nomination of holder to establish their right. (2) If a complaint is filed by any person pursuant to sub-section (1), the Court shall establish the right of the entitled person, and if the non-entitled person has already received payment, the Court shall order that amount to be paid to the heir as well.

22.

Act Deemed an Offense: If any person, with the intention of establishing their own right or the right of any other person in a debenture to which they are not entitled, knowingly deceives someone, submits false details, and establishes themselves or another person as the holder of a debenture, and receives or attempts to receive any amount as principal or interest of such debenture, such act shall be deemed an offense under this Act.

23. Punishment: A person committing an offense under Section 22 shall be liable, if any amount as principal or interest of such debenture has been received, to confiscation of such amount and a fine equal to that amount or imprisonment for up to three years or both. If no amount has been received, the person shall be liable to a fine equal to the principal and interest of such debenture or imprisonment for up to one year or both.

24. Government of Nepal to be Plaintiff: A case relating to an offense under Section 22 shall be filed by the Government of Nepal as plaintiff, and such case shall be deemed to be included in Schedule-1 of the National Criminal Procedure Code, 2074.

25. Documents to Remain Confidential: (1) Notwithstanding anything contained in other prevailing laws, the personal accounts of debentures and related documents kept in the Office shall remain confidential. (2) The Office shall not be obliged to show, present, or make public the documents under sub-section (1) to any person without a written request from an authorized officer for inspection or investigation pursuant to an order of the Government of Nepal or a court or prevailing law.

26. Interim Arrangements Relating to Public Debt Management: (1) Notwithstanding anything contained elsewhere in this Act, the body already carrying out the works and proceedings of public debt at the time of commencement of this Act shall not be deemed to be obstructed from continuing to carry out such works and

proceedings for a maximum period of two years from the date of commencement of this Act. (2) The Government of Nepal may, by publishing a notice in the Nepal Gazette, make arrangements for the Office to carry out some of the works and proceedings being carried out by the bodies referred to in sub-section (1). (3) Agreements may be made, as needed, between the Government of Nepal, the provincial government, the local level, and Nepal Rastra Bank for performing functions pursuant to this section. 27. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of this Act. 28.

Power to Make Directives, Procedures or Standards: Subject to this Act and the rules made under this Act, the Ministry may make and implement necessary directives, procedures, or standards regarding the matters referred to in Sections 10, 14 and 19, the giving of consent to a provincial government and local level to issue debentures in accordance with prevailing law, and the agreement pursuant to sub-section (3) of Section 26. 29. Measurement of Act Implementation: The Ministry shall measure the implementation of this Act within one year after the completion of five years from the commencement of this Act, and thereafter within one year after every five years, and shall submit a report thereof to the concerned committee of both houses of the Federal Parliament. 29. Repeal and Saving: (1) The Loan and Guarantee Act, 2025 and the National Debt Act, 2059 are hereby repealed. (2) All works and proceedings done under the Loan and Guarantee Act, 2025 and the National Debt Act, 2059, which are repealed pursuant to sub-section (1), shall be deemed to have been done under this Act.